Dr Reddys Laboratories Ltd

DRREDDY

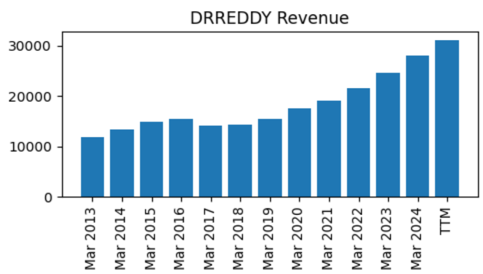
Key Financial Metrics

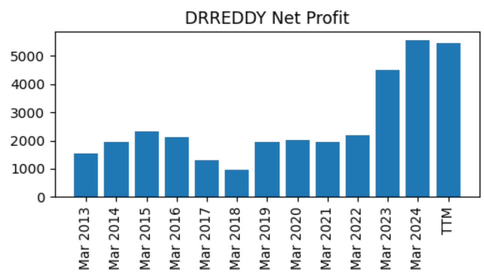
ROE 17.72%	**ROCE** 23.34%	**Debt / Equity** 0.16
Revenue CAGR 8.15%	**FCF Conversion** 81.44%	**Quality Score** 46.66

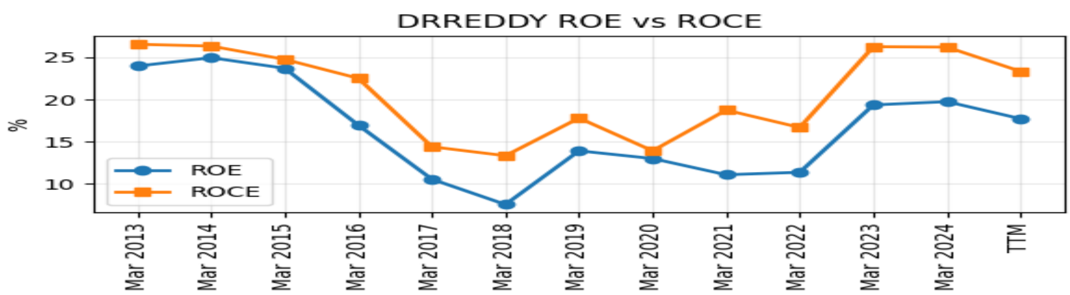
Company Profile

Company	Dr Reddys Laboratories Ltd
Sector	Healthcare
Industry	Pharmaceuticals
Market Cap (■ Cr)	2,441,803.28
P/E Ratio	11.73
P/B Ratio	10.19
Dividend Yield	0.09%

Financial Performance







AI Investment Summary

Dr Reddys Laboratories Ltd currently faces multiple financial challenges that increase investment risk. It currently has healthy profitability, strong capital efficiency, steady revenue growth, high quality cash-flow quality and conservative leverage. The overall financial quality score is 46.7/100. Key strengths include: Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Strong free cash flow generation over 5 years signals healthy business fundamentals.; Operating profit margin above 25% indicates strong pricing power and cost discipline.. Key risks include: Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.. Investment recommendation: Reduce. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Strong free cash flow generation over 5 years signals healthy business fundamentals. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• Debt-to-equity ratio has increased continuously for three years, indicating rising financial leverage.

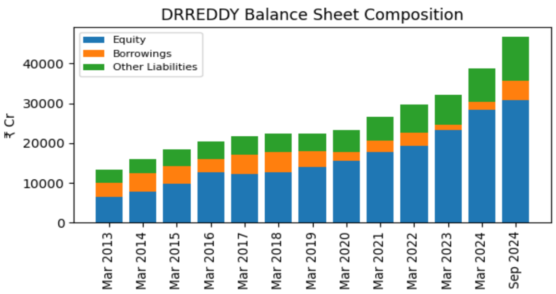
Investment Recommendation

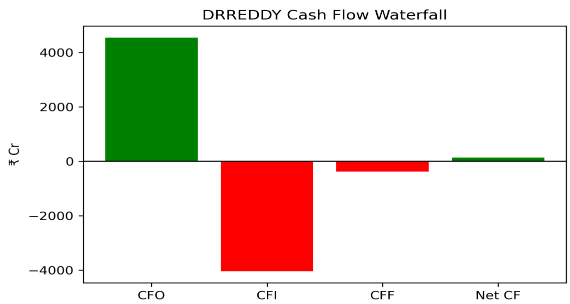
Recommendation	**REDUCE**
Risk Level	HIGH
Confidence	LOW

Recommendation Reason:
The recommendation is based on an adjusted financial score of 46.7/100, supported by 4 identified strengths, 1 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 46.7

Balance Sheet & Cash Flow





Financial Health

Profitability	Moderate
Growth	Moderate

Cash Flow	Moderate
Leverage	Strong
Valuation	Cheap

Capital Allocation

Shareholder Returns